EXECUTIVE SUMMARY

I. Introduction

Tuao is a 1st class municipality situated in the western part of Cagayan Valley, called the Itawes Region and composed of 32 barangays. The Municipality, which is under the third Congressional District of Cagayan, has a population of 57,154 people according to the 2007 National Statistics Office census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Accounts	2023	2022	Increase (Decrease)
Financial Position			
Total Assets	₱ 846,308,337.08	₱ 831,144,634.69	₱ 15,163,702.39
Total Liabilities	₱ 125,110,249.05	₱ 92,729,291.49	₱ 32,380,957.56
Total Government Equity	₱ 721,198,088.03	₱ 738,415,343.20	₱ (17,217,255.17)
Financial Performance			
Total Income	₱ 284,654,843.70	₱ 371,672,098.59	₱ (87,017,254.89)
Total Expenses	₱ 301,466,952.43	₱ 265,556,704.56	₱ 35,910,247.87

Appropriations, Allotments and Obligations			
Total Appropriations – Current	₱ 410,219,000.10	₱ 392,786,347.00	₱ 17,432,653.10
Total Obligations – Current	₱ 314,134,477.39	₱ 264,975,075.63	₱ 49,159,401.76
Total Appropriations – Continuing	₱ 139,161,559.94	₱ 151,287,381.71	₱ (12,125,821.77)
Total Obligations - Continuing	₱ 53,216,217.70	₱ 74,602,667.85	₱ (21,386,450.15)

The table below presents the fund transfers received by the Municipality from other agencies totaling P112,894,349.76, with comparative figures for CY 2022. There were no funds transferred to other agencies during the year.

	2023	**2022**	**Increase (Decrease)**
Funds Received from:			
National Government Agencies (NGAs)	₱ 92,864,349.76	₱ 87,602,255.50	₱ 5,262,094.26
Local Government Units	₱ 20,030,000.00	₱ 160,000.00	₱ 19,870,000.00
Total	₱ 112,894,349.76	₱ 87,762,255.50	₱ 25,132,094.26

IV. Operational Highlights

The LGU Tuao is headed by the Municipal Mayor, Honorable William N. Mamba, and Vice-Mayor, Honorable Francisco N. Mamba Jr. For CY 2023, the Municipality had a total of 511 personnel complement, consisting of 76 permanent, 11 elective, 10 co-terminus, 1 temporary, 44 casual, 4 contract of service and 365 job order status.

In addition, the LGU Tuao had accomplished significant and developmental projects in Calendar Year 2023, to wit:

Name of Project	**Amount**
1. Road Widening/Concreting/Improvement of Municipal Streets (Growth Center West)	₱ 3,197,527.36
2. Construction of Drainage Canal (Centro 2)	1,792,222.07
3. Concreting of Farm to Market Road (Prk. 3, Lallayug, Tuao)	3,424,506.59
4. Concreting of Farm to Market Road (Cagumitan, Tuao)	1,269,208.76
5. Completion of Hospital Building Finishes of Tuao Infirmary Hospital	4,896,777.87
6. Concreting of Farm to Market Road (Prk. 2/3, Mungo, Tuao)	7,240,142.73
7. Concreting of Farm to Market Road (Prk. 2/6, Mungo, Tuao)	5,553,596.19
8. Concreting of Farm to Market Road (Pata (TVTS), Tuao)	2,400,629.95
9. Concreting of Farm to Market Road (Sto. Tomas, Tuao)	1,882,447.33
10. Concreting of Farm to Market Road (Taribubu, Tuao)	3,029,560.86
11. Concreting of Farm to Market Road (Prk. 5, Bagumbayan, Tuao)	2,881,557.95
12. Concreting of Farm to Market Road (Prk. 2, Battung, Tuao)	2,044,376.85
13. Concreting of Farm to Market Road (San Juan, Tuao)	1,459,195.34
14. Concreting of Farm to Market Road (Cato, Tuao)	4,278,917.80
15. Concreting of Farm to Market Road (San Vicente, Tuao)	4,490,265.52
16. Installation of Airconditioning System of Multi-Purpose Building at Naruangan	6,148,201.09
17. Installation of Airconditioning System of Multi-Purpose Building at Centro 2	7,976,358.07
18. Road Widening/Concreting/Improvement of Municipal Streets (Growth Center West)	11,989,983.48

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fair presentation of the financial statements of the LGU Tuao for the year-ended December 31, 2023, due to: *(a) discrepancy of P60,771.63 between the balance of the Office Supplies Inventory per books and per Report of the Physical Count of Inventories (RPCI) and the non-inclusion of Drugs and Medicines Inventory amounting to P2,496,060.00 in the physical count of inventories; (b) overstatement of Construction in Progress (CIP) account by P26,534,303.41 due to non-reclassification of the cost of completed projects to the appropriate PPE accounts resulting in the understatement of Road Networks and Other Infrastructure Assets accounts by P21,536,602.17 and P4,997,701.24, respectively; (c) erroneous recording of disbursements pertaining to the trust receipts resulting in the understatement of Due to NGAs account by P9,401,689.34; (d) non-transfer of current and previous year's unexpended Quick Response Fund and DRRM (Mitigation Fund)–MOOE to the Special Trust Fund resulting in the understatement of the Trust Liabilities-DRRMF, Subsidy to Other Funds and Government Equity accounts by P13,000,686.43, P5,232,615.45 and P7,768,070.98, respectively.*

VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2023 other than the bases for the modified opinion that needs immediate attention and action by the LGU Tuao are as follows:

1. **Revenue collections by the Collecting Officers were not turned over daily to the Municipal Treasurer and were not deposited regularly and intact to the authorized depository bank, resulting in the accumulation of cash in the hands of the Collecting Officers and Municipal Treasurer, hence, may expose the cash to the risk of possible theft, misappropriation and loss of government funds.**

   We recommended that the Municipal Mayor direct the Municipal Treasurer to require the Collecting Officers to remit all collections on a daily basis and ensure that all collections remitted to him are deposited daily/regularly and intact to the authorized depository bank, in accordance with the pertinent provisions of the Local Treasury Manual.

2. **Reconciliation of records of Property, Plant and Equipment (PPE) of the General Services Office (GSO) and the Accounting Office cannot be undertaken due to non-maintenance of an updated Property Cards (PCs) and Property, Plant and Equipment Ledger Cards (PPELCs) by the respective offices. Also, the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) prepared does not include all the types of PPE; thus, the validity and accuracy of the PPE account of P482.84 million appearing in the books cannot be relied upon.**

We recommended that Management:

a) assess whether the created Inventory Committee has adequate number of members who shall plan/strategize and undertake the physical count of all PPEs of the LGU and increase their numbers, if necessary; and

b) study the applicability of COA Circular No. 2020-006 which provides the guidelines and procedures in the conduct of physical count of properties for the one-time cleansing of PPE account balances, to come-up with a complete RPCPPE that will help both the Accounting Office and the GSO in updating and reconciling their records; thus, establishing the fair presentation of the PPE account in the Financial Statements.

3. **The Municipality was not able to implement twenty-seven (27) programs/projects/activities (PPAs) with a total appropriation of P56.7 million funded under the 20% Development Fund (DF) of the LGU as at year-end; thus, depriving its constituents of the socio-economic benefits enjoyed if these projects were implemented as planned.**

We recommended that Management:

a) ensure that all identified development projects embodied in the Annual Investment Program are supported with concrete plans and designs, without any hindering issues and procurement-and-implementation-ready, including conduct of detailed engineering for infrastructure projects, in order to complete them within the target completion date to maximize the benefit for its intended beneficiaries;

b) prepare a holistic and comprehensive but realistic catch-up plan, after conducting proper monitoring and follow-up activities, to expedite the project implementation of PPAs funded especially from prior years' appropriation, which are still at the agency pipeline, to reduce backlogs; and

c) consider the need for reprogramming of the PPAs from prior years' appropriations, where necessary, after determination of a more relevant and responsive and procurement-and-implementation-ready projects that may be included under the 20% Development Fund of the Municipality in adherence with applicable laws, rules and regulations.

4. **Pre-bid conference for the procurement 23 infrastructure projects of the LGU-Tuao were not conducted within the required time; thus, depriving interested/prospective bidders with ample time to review the bidding documents prior to pre-bid conference and to prepare responsive bids prior to the deadline for the submission of bids.**

We recommended that Management, for future contracts, instruct the Bids and Awards Committee to conduct the Pre-bid Conference, for infrastructure projects with ABC of

P1,000,000.00 or more, within the required time prescribed under Section 22 of the RIRR of RA No. 9184.

5. **Requests for Quotation (RFQs) attached in the disbursement vouchers for the procurement of goods thru alternative modes do not include provision for the submission of eligibility documents and deadline for submission thereof and other pertinent terms and conditions of the contract; thus, the propriety of the BAC's evaluation of the eligibility of participating suppliers is doubtful.**

We recommended that Management direct the Bids and Awards Committee (BAC) to include in the RFQ specific information for the submission of required eligibility documents and the deadline for its submission, instructions to bidders and other pertinent terms and conditions of the contract, pursuant to Annex H of the 2016 RIRR of RA No. 9184.

VII. Summary of Total Suspensions, Disallowances and Charges

There were no Notices of Suspension, Disallowance or Charge issued to the Municipality.

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2022 Annual Audit Report are summarized as follows:

Implemented		13
Not Implemented	3	
Not Implemented and Reiterated in CY 2022 AAR	5	8
Total		**21**